2.3

Methods of Communication

Cambridge IGCSE Business

- Why Comm. Matters
- Communication Methods
- Internal vs External
- Communication Barriers
- Removing Barriers
- Recommend & Justify

Methods of Communication

Effective communication keeps a business running smoothly. Poor communication wastes time, causes errors and damages relationships with staff and customers.

- Explain why communication is important for a business
- Compare different methods of communication
- Distinguish internal from external communication
- Identify and explain communication barriers
- Recommend the best communication method for a given situation

Why Communication Matters

Internal · External · Methods · Choosing the right one

Communication – Why It Matters & Methods of Communication

Communication is the process of passing information from one person to another. Effective communication is essential for coordinating people and achieving business objectives.

Six Methods of Communication

Email

Best used for:
Internal updates, detailed info, external contacts

✓ Advantages
Written record kept · files attached · fast

✗ Disadvantages
Easy to ignore · tone misread · no immediate reply

Text / Instant Msg

Best used for:
Quick, informal messages between staff

✓ Advantages
Very fast · cheap · convenient

✗ Disadvantages
Too informal for serious matters · no record

Phone / Video Call

Best used for:
Urgent matters, remote teams, quick clarification

✓ Advantages
Immediate · two-way · visual cues (video)

✗ Disadvantages
No written record · tech issues can disrupt

Face-to-Face

Best used for:
Sensitive issues, complex decisions, motivation

✓ Advantages
Two-way · builds trust · instant feedback

✗ Disadvantages
Time-consuming · costly if travel required

Letter

Best used for:
Formal, legal, complaints, official notices

✓ Advantages
Professional · written record · legal standing

✗ Disadvantages
Slow · expensive · one-way communication

Social Media

Best used for:
Public announcements, marketing, customer reach

✓ Advantages
Wide reach · cheap · two-way with public

✗ Disadvantages
Public — mistakes visible · hard to control

Why effective communication matters:

- Coordinates workers — everyone knows what to do and when
- Avoids costly mistakes — clear instructions prevent errors
- Motivates staff — informed workers feel valued and included
- Builds customer trust — professional, accurate external messages

Exam tip: The BEST method depends on the situation. Consider: urgency, sensitivity, detail needed, number of recipients and whether a written record is needed.

Internal vs External Communication

All business communication is either internal — between people inside the business — or external — between the business and people outside it. Both are essential.

Internal vs External Communication

INTERNAL — within the business

What it is:
Communication that passes between people INSIDE the business — managers to staff, departments to departments, or team to team.

Typical methods used:

Email	Staff updates, meeting invites, instructions
Memo	Formal written note — policy or procedure changes
Team meeting	Weekly briefings, performance reviews
Noticeboard	Rota changes, health & safety notices
Intranet/chat	Slack, Teams — quick internal messaging

Example: HR department emails all staff about a new holiday booking policy

EXTERNAL — outside the business

What it is:
Communication between the business and people OUTSIDE it — customers, suppliers, government agencies or the general public.

Typical methods used:

Advertisement	TV, social media, posters — reaching customers
Formal letter	Legal documents, complaints, supplier contracts
Website	Public-facing information, product details, pricing
Customer helpline	Resolving queries and complaints from customers
Social media	Twitter/Instagram — public brand communication

Example: Tesco writes a letter to a supplier about a late delivery of stock

	Internal	External
Who	Employees, managers, departments	Customers, suppliers, government
Purpose	Coordinate and inform staff	Represent business to outside world
Tone	Can be informal (chat, memo)	Usually formal — reflects brand image
Example	HR email to all staff about pay rise	Letter to supplier about late delivery

Exam tip: Internal communication keeps the business running smoothly inside. External communication shapes how the world seesthe business — always professional and accurate.

Communication Methods – Advantages & Disadvantages

Every communication method has strengths and weaknesses. The right choice depends on the message, the audience and the circumstances.

Method	Best used for	Advantages	Disadvantages
Email	Detailed info, internal updates, external contacts	Written record kept · can attach files · fast	Easy to ignore · tone can be misread
Face-to-face meeting	Sensitive issues, complex decisions, motivation	Two-way · builds relationships · instant feedback	Time-consuming · costly if travel required
Phone / video call	Urgent matters, remote teams	Immediate · visual cues (video) · two-way	No written record · tech can fail
Text / instant message	Quick, simple, informal	Very fast · cheap · convenient	Too informal for serious matters · easy to ignore
Letter	Formal, legal, customer complaints	Professional · written record · suitable for legal	Slow · expensive to send · one-way
Social media	Public announcements, marketing, customer service	Wide reach · cheap · two-way with public	Public — mistakes visible · hard to control

Exam tip: Recommend and justify — e.g. 'Email is the best method because it provides a written record, can reach all 50 staff simultaneously and costs very little.'

Communication Barriers

Why communication fails · How to fix it

Communication Barriers – Causes, Problems and Solutions

A communication barrier is anything that prevents a message being sent, received or understood correctly. Barriers cause mistakes, delays and conflict.

How to Remove Barriers

- Use plain language — avoid jargon and technical terms
- Invest in reliable technology — backup systems
- Maintain positive relationships — open-door policy
- Provide translation services / multilingual materials
- Use feedback to confirm message was received correctly
- Reduce information overload — keep messages concise

Problems caused by poor communication:

- Workers make mistakes — wrong information acted upon · costly errors
- Delays — decisions not made · production slows down
- Conflict — misunderstandings between staff or with customers
- Demotivation — employees feel uninformed and excluded

Exam tip: For every barrier identified, link it to a specific problem it causes AND then suggest how to remove it. This showsthe full chain of analysis.

Key Revision Checklist – 2.3 Methods of Communication

Why it matters	Coordinates staff, avoids mistakes, motivates workers, builds customer trust, enables fast decision-making
Email	Written record, detailed, fast. Good for: updates, attachments, external. Bad for: urgent, sensitive or quick messages
Face-to-face	Best for: sensitive issues, complex topics, motivation. Instant feedback. Disadvantage: time-consuming and costly
Phone/Video	Immediate, two-way, visual cues (video). No written record — use for urgent/informal matters
Internal comm.	Within the business — memos, emails, meetings, noticeboards. Keeps staff coordinated and informed
External comm.	With customers, suppliers, government. Represents the business — must be professional and accurate
Barriers	Language/jargon, technical failure, attitudes, noise, information overload — all distort or block the message
Removing barriers	Plain language, reliable tech, open-door culture, translation, feedback loops, concise messages
Recommend	Match method to situation: urgency, sensitivity, formality, number of recipients, need for written record